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Defense Commissary Agency

Standard Operating Procedure — SOP-04

Transportation & Carrier Rate Management

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1. Purpose

The purpose of this Standard Operating Procedure (SOP) is to establish uniform, enforceable, and auditable procedures governing all aspects of transportation and carrier rate management for outbound shipments from Defense Commissary Agency (DeCA) Distribution Centers (DCs). This SOP standardizes the processes for carrier selection, contracted rate application, fuel surcharge computation, accessorial charge validation, freight invoice auditing, and carrier transportation performance management across all DeCA distribution operations.

This document ensures that all outbound DeCA shipments destined for military installations within the Continental United States (CONUS) are executed in a cost-effective, compliant, and operationally efficient manner, consistent with applicable federal acquisition regulations, Department of Defense (DoD) transportation policy, and DeCA's internal supply chain governance framework. Adherence to this SOP supports DeCA's mission of delivering quality grocery products to the military community at the lowest possible cost.

Policy Objective

This SOP directly supports DeCA Strategic Goal 3: Optimize Distribution and Logistics Operations, and aligns with DoD cost-efficiency mandates governing government transportation spending under OMB Circular A-123.

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2. Scope

This SOP applies to all personnel, systems, and contracted parties involved in the planning, execution, auditing, and performance management of outbound freight transportation on behalf of the Defense Commissary Agency. The following functional roles, systems, and organizational units are within the scope of this procedure:

- **DeCA Transportation Coordinators** at all Distribution Centers responsible for tendering and managing outbound loads.
- **Transportation Management System (TMS) Administrators** responsible for maintaining carrier data, rate tables, and system configuration.
- **DeCA Contracting Officers (COs)** responsible for executing and maintaining carrier agreements in compliance with FAR Part 47.
- **Carrier Account Managers** representing contracted carriers operating under DeCA transportation agreements.
- **Distribution Center (DC) Dock Supervisors** responsible for load verification, temperature checks, and BOL execution at origin.
- **Freight Audit Analysts** responsible for validating carrier invoices against contracted rates and TMS shipment records.
- **All contracted carriers** providing truckload (TL), less-than-truckload (LTL), or temperature-controlled (Reefer) transportation services on behalf of DeCA.

This SOP does not apply to inbound vendor transportation arrangements, inter-DC transfers governed by separate internal logistics directives, or any overseas (OCONUS) shipment activity managed under separate command authority.

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3. References

The following regulatory, statutory, and policy references govern the requirements established in this SOP. All personnel covered by this document are responsible for familiarity with applicable provisions of each reference as they relate to their assigned duties.

Ref. #	Document / Regulation	Description / Applicability
REF-01	FAR Part 47 — Transportation	Federal Acquisition Regulation governing acquisition of transportation services, contract terms, and carrier requirements for U.S. Government shipments.
REF-02	DoD 4500.9-R — Defense Transportation Regulation (DTR)	Establishes DoD-wide policy for defense transportation management, including carrier qualification, cargo security, and freight billing standards.
REF-03	DeCA Transportation Management Plan, Rev. 2026	Agency-level transportation planning document defining strategic objectives, lane management strategy, TMS governance, and annual carrier review processes.
REF-04	Surface Deployment and Distribution Command (SDDC) Guidelines	U.S. Army SDDC guidelines governing surface transportation of DoD cargo, including carrier qualification, bill of lading standards, and

Ref. #	Document / Regulation	Description / Applicability
		freight claim procedures.
REF-05	OMB Circular A-123 — Management's Responsibility for Enterprise Risk Management and Internal Control	Establishes federal standards for internal controls over financial processes, including freight audit and transportation payment functions.
REF-06	49 U.S.C. § 14706 — Carmack Amendment	Federal statute governing carrier liability for cargo loss and damage claims; establishes filing windows and recovery standards applicable to DeCA freight claims.
REF-07	FMCSA Regulations (49 CFR Parts 350–399)	Federal Motor Carrier Safety Administration regulations governing carrier licensing, authority, insurance requirements, and vehicle safety standards.

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4. Definitions

The following terms and acronyms are used throughout this SOP. All personnel are required to apply these definitions consistently in written communications, TMS entries, and contract administration activities.

Term / Acronym	Definition
TMS (Transportation Management System)	The enterprise software platform used by DeCA to plan, execute, tender, track, and audit all outbound freight movements. The TMS is the system of record for all carrier rate agreements, lane assignments, load tenders, and shipment history.
Truckload (TL)	A shipment mode in which a single shipper's cargo occupies the full

Term / Acronym	Definition
	capacity of a trailer (typically 40,000–44,000 lbs. or the full 53-foot trailer cube). TL shipments are contracted on a per-lane, per-load basis.
Less-Than-Truckload (LTL)	A shipment mode in which cargo from multiple shippers is consolidated within a single trailer. LTL freight is rated by hundredweight (CWT) or freight class and is used for shipments too small to justify a full truckload.
Refrigerated Transport (Reefer)	Transportation equipment (trailer or container) equipped with an active refrigeration unit capable of maintaining specified temperature ranges during transit. Required for all DeCA temperature-controlled product lanes (perishables, frozen, and dairy).
Fuel Surcharge (FSC)	A variable percentage fee added to the base freight rate to offset carrier fuel cost fluctuations. The FSC is recalculated and published weekly based on the U.S. Department of Energy (DOE) National Diesel Retail Prices index, applied per the schedule defined in each carrier's agreement.
Accessorial Charges	Supplemental fees applied to a shipment for services performed beyond standard pickup and delivery. Examples include liftgate service, driver layover, detention (waiting time beyond free time), inside delivery, and re-delivery. Accessorial rates are flat fees defined in the carrier contract.
Lane	A defined origin-to-destination transportation corridor between a specific DeCA Distribution Center and a military installation or delivery point. Each lane has a unique Lane ID (format: LN-XXX) and associated contracted rate parameters within the TMS.
Base Rate	The negotiated, fixed per-load or per-mile freight rate for a specific lane, exclusive of fuel surcharge and accessorial charges. Base rates are locked for the contract term (January 1 through December 31) and are published in the TMS lane rate table.

Term / Acronym	Definition
Bill of Lading (BOL)	A legally binding document issued by DeCA (as shipper) to the carrier at the time of freight pickup, serving simultaneously as a shipment receipt, a contract of carriage, and title document. The BOL number is the primary tracking identifier for all DeCA outbound shipments.
Freight Audit	The systematic process of reviewing and validating carrier-submitted invoices against contracted rates, fuel surcharge tables, accessorial charge schedules, and the corresponding TMS shipment record to identify billing discrepancies, overcharges, or unauthorized charges prior to payment authorization.
CONUS (Continental United States)	The 48 contiguous states of the United States and the District of Columbia, excluding Alaska, Hawaii, and U.S. territories. All transportation lanes governed by this SOP are CONUS operations. OCONUS movements are governed by separate directive.

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5. Roles and Responsibilities

The following table defines the primary roles, organizational position, and specific responsibilities of all personnel involved in transportation and carrier rate management under this SOP. Individuals may hold more than one functional role where operationally justified and documented in their position description.

Role	Organizational Position	Key Responsibilities
Transportation Coordinator (TC)	DC Transportation Management Branch	Monitor and manage daily outbound load planning in the TMS. Authorize manual carrier overrides with documented justification and supervisor approval. Coordinate with carriers

Role	Organizational Position	Key Responsibilities
		on tender acceptance, pickup appointments, and load exceptions. Escalate unaccepted tenders to secondary carriers within required timeframes. Ensure BOL accuracy and completeness prior to load departure.
TMS Administrator	Supply Chain IT / Transportation Systems	Maintain and update carrier profiles, lane rate tables, and fuel surcharge schedules in the TMS. Onboard new carriers and configure EDI (Electronic Data Interchange) connections. Publish weekly fuel surcharge updates sourced from the DOE index. Generate TMS system reports for freight audit, KPI monitoring, and management review. Ensure TMS data integrity and conduct quarterly system audits.
Contracting Officer (CO)	DeCA Office of Procurement / Contracting	Execute, administer, and renew carrier contracts in compliance with FAR Part 47. Verify carrier eligibility, insurance documentation, and FMCSA authority prior to contract award. Approve or reject new carrier onboarding based on qualification criteria. Issue Contracting Officer's Representative (COR) designations to Transportation Coordinators. Initiate formal contract suspension or termination actions for cause.
Carrier Account Manager	Contracted Carrier Organization	Serve as the primary point of contact between the carrier and DeCA. Ensure carrier compliance

Role	Organizational Position	Key Responsibilities
		with all contract terms, equipment standards, and performance KPIs. Submit and respond to quarterly performance scorecards within required timeframes. Manage Corrective Action Plans (CAPs) when carrier performance falls below thresholds. Submit freight invoices accurately and within 30 days of delivery.
DC Dock Supervisor	Distribution Center Operations	Verify reefer trailer pre-cool temperature (≤35°F) before loading temperature-controlled product. Confirm carrier driver identity and vehicle authority number prior to loading. Execute and sign original BOL at time of load departure. Document any loading exceptions, short-ships, or damaged product on the BOL. Retain signed BOL copies and report discrepancies to the Transportation Coordinator.
Freight Audit Analyst	DeCA Finance / Supply Chain Operations	Review all carrier invoices against TMS records, contracted rates, and accessorial schedules. Identify, document, and dispute billing discrepancies greater than $50.00. Coordinate resolution of disputed invoices with Carrier Account Managers. Authorize approved invoices for payment processing and submission to DFAS. Prepare annual freight spend reconciliation

Role	Organizational Position	Key Responsibilities
		report for DFAS and management review.

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6. Carrier Contract Management

DeCA maintains a managed portfolio of contracted carrier agreements to ensure competitive rates, service reliability, and regulatory compliance across all transportation lanes. All carrier contracts are administered by the Office of Procurement in coordination with the Supply Chain Operations Division.

6.1 Annual Contract Renewal Cycle

All carrier transportation agreements follow an annual contract term, effective January 1 through December 31 of each calendar year. The contract renewal process is initiated no later than October 1 of the preceding year to allow adequate time for rate negotiation, qualification review, and system configuration. The Contracting Officer is responsible for issuing renewal solicitations, evaluating carrier responses, and executing finalized agreements no later than December 15 to ensure continuity of operations at the January 1 effective date. Any contract not renewed by December 31 reverts to month-to-month holdover status at the prior year's rate, subject to 30-day termination notice by either party.

6.2 Approved Carrier List

The TMS Administrator maintains a current Approved Carrier List within the TMS, reflecting all carriers under active contract with DeCA. The Approved Carrier List is the authoritative source for carrier eligibility in lane assignments. No carrier may be tendered a DeCA load unless listed as Active in the TMS Approved Carrier List. The TMS Administrator updates carrier status within two (2) business days of notification of contract execution, suspension, or termination by the Contracting Officer. The Approved Carrier List is reviewed quarterly as part of the carrier performance review cycle.

6.3 Contract Numbering Format

All DeCA carrier transportation contracts are assigned a unique contract number using the following standardized format:

Contract Number Format: DECA-TRN-YYYY-##

- **DECA** — Defense Commissary Agency (issuing agency identifier)
- **TRN** — Transportation contract type designator
- **YYYY** — Four-digit contract effective year (e.g., 2026)
- **##** — Sequential two-digit carrier number assigned by the Contracting Officer (e.g., 01, 02, … 15)

Example: DECA-TRN-2026-03 designates the third carrier contract awarded in the 2026 contract year.

6.4 Quarterly Carrier Performance Reviews

Formal carrier performance reviews are conducted quarterly by the Transportation Management Branch in coordination with the Freight Audit Analyst. Reviews occur during the first two weeks of January, April, July, and October, evaluating performance against the KPIs defined in Section 11. The Contracting Officer is provided a summary of review findings, and carriers performing below threshold on any KPI metric receive a formal written notice within five (5) business days of the review. Carriers failing to respond to notices or submit a Corrective Action Plan (CAP) within 15 business days are subject to escalation actions as defined in Section 11.4.

6.5 New Carrier Onboarding Requirements

All carriers seeking to enter into a transportation agreement with DeCA must satisfy the following minimum qualification criteria prior to contract award. Documentation of each requirement must be submitted to and verified by the Contracting Officer:

- **Commercial General Liability Insurance:** Minimum $2,000,000 per occurrence and $4,000,000 aggregate, with DeCA listed as an additional insured. Certificate of insurance must be current and renewed annually.
- **Cargo Insurance:** Minimum $250,000 per occurrence for dry freight carriers; minimum $500,000 per occurrence for temperature-controlled (Reefer) carriers.
- **FMCSA Operating Authority:** Active Federal Motor Carrier Safety Administration (FMCSA) motor carrier authority (MC number) with satisfactory safety rating. Carriers with "Conditional" or "Unsatisfactory" safety ratings are ineligible for contract award.
- **Food-Grade Equipment Certification:** Required for all carriers assigned to temperature-controlled lanes (Reefer). Carriers must provide documentation of food-grade trailer certification and most recent trailer wash-out records (within 30 days of onboarding).
- **EDI Capability:** Carriers must support Electronic Data Interchange (EDI) transaction sets 204 (Motor Carrier Load Tender), 990 (Response to a Load Tender), and 214 (Motor Carrier Shipment Status Message) for integration with the DeCA TMS.
- **W-9 / SAM.gov Registration:** Active registration in the System for Award Management (SAM.gov) is required for all contractors receiving payment from a federal agency.

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7. Rate Structure

DeCA utilizes a structured, three-component freight rate model for all outbound shipments. All rate components are defined in carrier contracts, loaded into the TMS at the time of contract execution, and applied automatically to each tendered load. Manual rate adjustments outside of the TMS-calculated rate require written authorization from the Transportation Branch Chief.

7.1 Base Rate

The Base Rate is a negotiated, fixed per-load freight charge specific to each origin-destination lane pair. Base Rates are negotiated annually during the contract renewal cycle and are locked for the full contract term (January 1 – December 31). Base Rates are expressed in U.S. dollars per load and are recorded in the TMS Lane Rate Table by Lane ID. Base Rates account for distance, service level (Standard or Expedited), equipment type, and estimated transit time. Base Rates do not include fuel surcharge or accessorial charges, which are calculated and applied separately.

7.2 Fuel Surcharge (FSC)

The Fuel Surcharge (FSC) is a variable percentage applied to the Base Rate to compensate carriers for diesel fuel cost fluctuations. The FSC percentage is updated weekly by the TMS Administrator every Monday at 08:00 ET, based on the prior week's U.S. Department of Energy (DOE) National Average On-Highway Diesel Fuel Price, published at **eia.gov**. The FSC schedule (defining the FSC percentage at each DOE price band) is attached as Exhibit B to each carrier contract and configured in the TMS. The FSC percentage in effect on the date of load tender applies to that shipment for the duration of transit.

7.3 Accessorial Charges

Accessorial charges are flat-fee supplemental charges applied when specific non-standard services are required or when carrier delays occur that are attributable to shipper or consignee actions. The following accessorial charges are recognized under DeCA carrier contracts. All rates are per-occurrence unless otherwise noted:

Accessorial Type	Trigger Condition	Standard Rate	Authorization Required
Liftgate Service	Delivery location lacks a loading dock; liftgate required for delivery	$125.00 per occurrence	TMS flag set by TC at tender
Driver Layover	Carrier driver unable to complete delivery due to shipper/consignee closure; overnight	$350.00 per night	TC written approval

Accessorial Type	Trigger Condition	Standard Rate	Authorization Required
	stay required		
Detention (Shipper)	Loading at DC exceeds 2-hour free time; per hour thereafter	$75.00 per hour	Dock Supervisor documentation
Detention (Consignee)	Unloading at military installation exceeds 2-hour free time; per hour thereafter	$75.00 per hour	Signed POD with timestamp
Inside Delivery	Carrier required to deliver product beyond the receiving dock area	$200.00 per occurrence	TC written approval + installation request
Re-Delivery	Carrier unable to complete delivery on first attempt due to consignee unavailability	$300.00 per occurrence	TC and installation coordinator approval
Temperature Monitoring Download	Reefer lanes only; carrier provides continuous temperature log at delivery	No charge (contractual requirement)	N/A — mandatory for all reefer loads

7.4 Total Rate Calculation

The Total Freight Rate for any given DeCA shipment is calculated as follows:

Total Rate Formula

Total Rate = Base Rate × (1 + Fuel Surcharge%) + Accessorial Charges

Example: Lane LN-004 | Base Rate: $1,850.00 | FSC: 18.5% | Liftgate Accessorial: $125.00

Total Rate = $1,850.00 × (1 + 0.185) + $125.00 = $1,850.00 × 1.185 + $125.00 = $2,192.25 + $125.00 = **$2,317.25**

7.5 Lane Rate Table

The following table presents the DeCA contracted lane rates effective for contract year 2026. All rates are loaded into the TMS and are the authoritative source for freight cost calculation and invoice validation. Fuel Surcharge percentages shown reflect the rate in effect as of the effective date of this SOP (August 1, 2026). FSC is updated weekly. "Temp-Controlled" column indicates whether the lane requires refrigerated (Reefer) equipment.

Lane ID	Origin DC	Destination Installation	Carrier	Svc Level	Equip Type	Distance (mi)	Base Rate ($)	FSC %	Accessorial ($)	Total Rate ($)	Transit Days	Temp-Controlled
LN-001	Tracy, CA DC	Travis AFB, CA	FedEx Ground	Standard	Dry Van 53'	52	$875.00	17.2%	$0.00	$1,025.50	1	No
LN-002	Tracy, CA DC	Fort Ord (CSUMB), CA	FedEx Ground	Standard	Dry Van 53'	118	$1,100.00	17.2%	$125.00	$1,414.20	1	No
LN-003	Tracy, CA DC	NAS Lemoore, CA	FedEx Ground	Standard	Reefer 53'	157	$1,480.00	18.5%	$0.00	$1,753.80	1	Yes
LN-004	Tracy, CA DC	Camp Pendleton, CA	USMC Logistics	Standard	Reefer 53'	499	$2,250.00	18.5%	$0.00	$2,666.25	2	Yes
LN-005	Tracy, CA DC	Marine Corps Air Station Miramar, CA	USMC Logistics	Standard	Dry Van 53'	512	$1,950.00	17.2%	$0.00	$2,285.40	2	No

Lane ID	Origin DC	Destination Installation	Carrier	Svc Level	Equip Type	Distance (mi)	Base Rate ($)	FSC %	Accessorial ($)	Total Rate ($)	Transit Days	Temp-Controlled
LN-006	Laurel, MD DC	Fort Meade, MD	FedEx Ground	Standard	Dry Van 53'	18	$650.00	17.2%	$0.00	$761.80	1	No
LN-007	Laurel, MD DC	Joint Base Andrews, MD	FedEx Ground	Standard	Reefer 53'	24	$820.00	18.5%	$0.00	$971.70	1	Yes
LN-008	Laurel, MD DC	Fort Bragg, NC	Army & Air Force Exchange	Standard	Dry Van 53'	352	$1,720.00	17.2%	$0.00	$2,015.84	1	No
LN-009	Laurel, MD DC	Fort Belvoir, VA	Army & Air Force Exchange	Expedited	Dry Van 53'	30	$1,050.00	17.2%	$0.00	$1,230.60	1	No
LN-010	Laurel, MD DC	Quantico MCAS, VA	USMC Logistics	Standard	Reefer 53'	45	$1,175.00	18.5%	$125.00	$1,517.38	1	Yes
LN-011	Norfolk, VA DC	Naval Station Norfolk, VA	FedEx Ground	Standard	Dry Van 53'	11	$620.00	17.2%	$0.00	$726.64	1	No
LN-012	Norfolk,	Langley	Army &	Standard	Reefer	27	$890.00	18.5%	$0.00	$1,054.6	1	Yes

Lane ID	Origin DC	Destination Installation	Carrier	Svc Level	Equip Type	Distance (mi)	Base Rate ($)	FSC %	Accessorial ($)	Total Rate ($)	Transit Days	Temp-Controlled
	VA DC	AFB, VA	Air Force Exchange		53'					5		
LN-013	San Antonio, TX DC	Fort Sam Houston, TX	Army & Air Force Exchange	Standard	Dry Van 53'	9	$580.00	17.2%	$0.00	$679.76	1	No
LN-014	San Antonio, TX DC	Lackland AFB, TX	Army & Air Force Exchange	Expedited	Reefer 53'	13	$780.00	18.5%	$0.00	$924.30	1	Yes
LN-015	San Antonio, TX DC	Fort Hood, TX	USMC Logistics	Standard	Dry Van 53'	188	$1,380.00	17.2%	$200.00	$1,817.36	1	No

Note: FSC percentages are as of August 1, 2026, per DOE National Diesel Index. Total Rate includes applicable accessorials listed. All values in USD. Rates are subject to weekly FSC adjustment in TMS. Carrier assignments reflect primary carrier only; secondary carrier assignments are maintained separately in the TMS.

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8. Carrier Selection Procedure

The carrier selection process is governed by the principle of lowest-cost compliant carrier assignment within the TMS, ensuring that DeCA achieves maximum freight cost efficiency while maintaining full contractual, regulatory, and service-level compliance.

8.1 TMS Automated Carrier Selection

For all outbound load planning activities, the TMS automatically selects the lowest-cost compliant contracted carrier for each lane based on the Total Rate formula defined in Section 7.4. The TMS evaluates only Active carriers from the Approved Carrier List for each lane. Carriers that are on suspension, under a Corrective Action Plan (CAP) hold, or lack the required equipment certification for the specific lane (e.g., Reefer certification for temperature-controlled lanes) are automatically excluded from selection. The TMS records the basis for carrier assignment on each load record and this selection rationale is retained for audit purposes.

8.2 Temperature-Controlled Shipment Requirements

All shipments containing temperature-controlled products — including fresh produce, dairy, meat, frozen foods, and other perishables — must be assigned exclusively to carriers with active Reefer equipment certification on file with the Contracting Officer and TMS. The TMS enforces this requirement programmatically by blocking assignment of non-reefer carriers to temperature-controlled lanes (identified by the "Temp-Controlled: Yes" flag in the Lane Rate Table). No exceptions to this requirement are permitted under any circumstances. Partial loads combining ambient and temperature-sensitive product require reefer equipment for the entire load unless a physical separation barrier and dual-zone temperature system is documented and certified by the carrier.

8.3 Manual Override Authorization

A Transportation Coordinator may override the TMS-selected carrier only under the following conditions, and only with prior written approval from the Transportation Branch Chief:

- The TMS-selected carrier has reported a capacity shortage or equipment failure and cannot accept the tender within the required 2-hour window.
- A carrier has been placed on informal administrative hold pending formal suspension processing.

- An operational emergency exists, as declared by the DC Director, requiring an alternate carrier for continuity of service to a military installation.

All manual overrides must be documented in the TMS Override Log with: the date and time of override, the name and title of the Transportation Coordinator initiating the override, the name and title of the Transportation Branch Chief authorizing the override, the reason for override, the selected replacement carrier, and the cost differential (if any) relative to the TMS-selected carrier. Override logs are reviewed by the Freight Audit Analyst during monthly internal audits and are included in quarterly performance review packages.

8.4 Priority Shipment Premium Carrier Authorization

For shipments designated as Priority by the DC Director or Transportation Branch Chief — including emergency resupply to military installations, surge shipments during contingency operations, or time-sensitive perishable loads — the Transportation Coordinator is authorized to select a premium-tier carrier at a cost premium of up to fifteen percent (15%) above the TMS-calculated lowest Total Rate. Priority shipment designation must be recorded in the TMS at the time of load creation, with the declaring official's name, title, and justification. Any premium exceeding 15% requires written approval from the Supply Chain Operations Division Director.

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9. Booking and Tendering Process

The load tendering process is the formal mechanism by which DeCA offers a freight load to a contracted carrier for acceptance and execution. All tendering activity is managed within the TMS and conducted via EDI in accordance with the carrier's EDI configuration. The following sub-sections define the mandatory sequence of tendering actions and timeframes.

9.1 Load Tender Generation

The TMS generates a load tender automatically for each planned outbound load between twenty-four (24) and forty-eight (48) hours prior to the scheduled pickup time at the origin Distribution Center. The load tender (transmitted as EDI 204 — Motor Carrier Load Tender) contains the following mandatory elements:

- Load/BOL number and DeCA contract reference
- Lane ID, origin DC address, and consignee (destination installation) details
- Scheduled pickup date and appointment window (2-hour window)
- Commodity description, estimated weight, pallet count, and temperature requirements (if applicable)
- Equipment type requirement and any special handling instructions
- Contracted rate components: Base Rate, applicable FSC percentage, and pre-authorized accessorials

The Transportation Coordinator reviews all system-generated tenders prior to transmission for accuracy of commodity, temperature requirements, and accessorial flags. Tenders with errors must be corrected in the TMS before transmission.

9.2 Carrier Acceptance — Primary Tender

The contracted primary carrier must accept or decline the load tender within two (2) hours of transmission, using an EDI 990 — Response to a Load Tender. A response of "Accepted" (EDI 990, response code "A") confirms the carrier's commitment to provide compliant equipment and a qualified driver for the scheduled pickup. Carriers that do not respond within the 2-hour window are treated as a non-acceptance and trigger the escalation process defined in Section 9.3. Acceptance creates a binding contractual obligation on the carrier to perform the movement; failure to perform after acceptance constitutes a service failure and is recorded on the carrier's performance scorecard.

9.3 Escalation to Secondary Carrier

In the event a primary carrier declines a tender or fails to respond within the 2-hour acceptance window, the Transportation Coordinator must escalate the tender to the designated secondary carrier for the lane within one (1) hour of the non-acceptance event. The TMS records the timestamp of non-acceptance and the timestamp of secondary tender transmission. If the secondary carrier also fails to accept within 2 hours, the Transportation Coordinator is authorized to tender the load to any Active carrier on the Approved Carrier List capable of servicing the lane and equipment requirements, with manual override documented per Section 8.3. All non-acceptance events are logged by the TMS and counted against the primary carrier's Carrier Acceptance Rate KPI.

9.4 Bill of Lading Generation and Transmission

Upon receipt of carrier acceptance (EDI 990, code "A"), the TMS automatically generates the Bill of Lading (BOL) for the load. The BOL includes: DeCA shipper name and address, DC dock door assignment, consignee name and full installation address, carrier name and SCAC code, equipment number (trailer/vehicle number), commodity line items with piece counts and weights, hazmat notation (if applicable), temperature set-point requirements (reefer loads), and the contracted freight rate components. The TMS transmits the BOL electronically to the carrier via EDI. The DC Dock Supervisor prints and retains two (2) physical copies of the BOL at the DC, one of which is signed and given to the driver at the time of load departure. The original signed BOL is scanned into the TMS document management module within four (4) hours of load departure.

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10. Freight Audit and Payment

The freight audit function is a critical financial control that ensures DeCA pays only for contracted, properly performed services at agreed-upon rates. All carrier invoices are subject to mandatory audit prior to payment authorization. The Freight Audit Analyst serves as the primary responsible party for this function, operating under the internal control framework prescribed by OMB Circular A-123.

10.1 Carrier Invoice Submission

Carriers are required to submit freight invoices within thirty (30) calendar days of the confirmed delivery date at the consignee installation. Invoices submitted beyond the 30-day window are subject to rejection at DeCA's discretion. Invoices must be submitted electronically via the carrier's designated billing portal or EDI 210 (Motor Carrier Freight Details and Invoice) transaction, referencing the BOL number and DeCA contract number on each invoice line. Paper invoice submissions are not accepted except by prior written approval of the Freight Audit Analyst.

10.2 Freight Audit Validation Process

Upon receipt, the Freight Audit Analyst validates each carrier invoice against three authoritative data sources: the signed BOL on file in the TMS, the contracted rate components (Base Rate, FSC, and authorized accessorials) for the specific lane and service date, and the TMS shipment record including confirmed pickup and delivery timestamps, weights, and any documented exceptions. The audit verifies the following elements for each invoice:

- Lane ID and route correctness match the BOL and TMS record.
- Base Rate charged matches the TMS-contracted rate for the lane and contract year.
- FSC percentage applied matches the DOE-indexed rate published for the week of load tender date.
- Accessorial charges match only pre-authorized accessorials documented in the TMS load record.
- Total billed amount matches the TMS-calculated Total Rate, within an acceptable rounding tolerance of $0.01.

10.3 Discrepancy and Dispute Process

Any discrepancy between the carrier's invoiced amount and the TMS-calculated Total Rate that exceeds fifty dollars ($50.00) triggers a formal dispute. The Freight Audit Analyst documents the discrepancy in the TMS Dispute Log, specifying the invoice number, BOL number, discrepancy amount, and the nature of the variance (e.g., incorrect base rate, unauthorized accessorial, incorrect FSC%). A dispute notification is issued to the Carrier Account Manager within three (3) business days of identification. The carrier has ten (10) business days to respond with supporting documentation or a credit memo. Unresolved disputes exceeding thirty (30) business days are escalated to the Contracting Officer for contract enforcement action. Disputed amounts are withheld from payment pending resolution.

Important — Dispute Threshold

Discrepancies of $50.00 or less are corrected administratively by the Freight Audit Analyst through a rate adjustment in the TMS and are not subject to the formal dispute process. However, all adjustments — regardless of amount — are logged in the TMS Adjustment Log and included in the quarterly freight audit summary report.

10.4 Payment Authorization and Processing

Invoices that pass freight audit without discrepancy, or for which discrepancies have been fully resolved, are authorized for payment by the Freight Audit Analyst via signature on the DeCA Form FIN-07 (Freight Invoice Payment Authorization). Authorized invoices are submitted to the Defense Finance and Accounting Service (DFAS) for payment within Net-30 terms as specified in the carrier's contract, measured from the date of invoice receipt. Late payment in excess of Net-30 terms may trigger interest penalties under the Prompt Payment Act (31 U.S.C. § 3901). The Freight Audit Analyst tracks all open invoices in the TMS Accounts Payable module and escalates aging invoices at risk of Prompt Payment Act penalties to the Finance Officer.

10.5 Annual Freight Spend Reconciliation

By January 31 of each calendar year, the Freight Audit Analyst prepares an Annual Freight Spend Reconciliation Report covering all transportation expenditures for the preceding contract year. The report includes total freight spend by carrier, total spend by lane, total FSC paid, total accessorials paid, total disputes initiated and resolved, and total credits received. The report is reviewed and approved by the Transportation Branch Chief and Supply Chain Operations Division Director, then submitted to DFAS and the DeCA Chief Financial Officer as part of the annual financial reporting cycle. A copy is retained in the document management system per the retention schedule in Section 14.

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11. Carrier Performance Monitoring

DeCA maintains a continuous, data-driven carrier performance monitoring program to ensure all contracted carriers consistently deliver service at the quality levels required to support military installation commissary operations. Performance data is captured automatically by the TMS from shipment execution records and supplemented by DC Dock Supervisor reports and Freight Audit findings.

11.1 Key Performance Indicators (KPIs)

The following KPIs are tracked for each contracted carrier on a monthly basis and aggregated for quarterly scorecard review. Performance is measured at the individual carrier level across all lanes operated by that carrier within the reporting period.

KPI	Definition	Measurement Method	Target Threshold	Minimum Acceptable
On-Time Pickup Rate (OTPR)	Percentage of loads where carrier arrives at origin DC within the scheduled 2-hour pickup appointment window.	TMS timestamp comparison: scheduled vs. actual gate-in time at origin DC.	**≥ 97.0%**	95.0%
On-Time Delivery Rate (OTDR)	Percentage of loads delivered to the destination installation on or before the contracted delivery date.	TMS POD timestamp vs. contracted delivery date per lane transit days.	**≥ 98.0%**	95.0%
Temperature Compliance Rate (TCR)	For Reefer lanes only: percentage of loads where continuous temperature log shows product maintained	Carrier-provided temperature download at delivery, reviewed by Freight Audit Analyst.	**≥ 99.0%**	97.0%

KPI	Definition	Measurement Method	Target Threshold	Minimum Acceptable
	within the specified temperature range for 100% of transit time.			
Cargo Claim Rate (CCR)	Percentage of loads resulting in a cargo loss or damage claim filed against the carrier, measured as a percentage of total loads tendered.	Claims filed per Section 13 vs. total loads tendered to carrier in period.	**≤ 0.5%**	≤ 1.0%
Carrier Acceptance Rate (CAR)	Percentage of tendered loads accepted by the carrier within the 2-hour acceptance window (EDI 990, code "A"), as a percentage of total tenders issued to that carrier.	TMS tender transmission timestamp vs. EDI 990 acceptance timestamp.	**≥ 95.0%**	90.0%
Freight Invoice Accuracy Rate (FIAR)	Percentage of carrier invoices received that require no adjustment or dispute resolution prior to payment authorization.	Total invoices received vs. total invoices requiring dispute or adjustment per Section 10.3.	**≥ 98.0%**	95.0%

11.2 Quarterly Scorecard Process

The Transportation Management Branch prepares a formal Quarterly Carrier Performance Scorecard for each contracted carrier within fifteen (15) business days of the close of each calendar quarter. Scorecards are generated from TMS performance data and include: carrier name and contract number, reporting period, performance result for each KPI (percentage or rate), comparison against target threshold and minimum acceptable level, trend line versus prior quarter, and a summary narrative from the Transportation Coordinator. Scorecards are transmitted to the Carrier Account Manager via secure email and acknowledged receipt is required within three (3) business days. Scorecard packages are submitted to the Contracting Officer and retained in the carrier contract file.

11.3 Corrective Action Plan (CAP) Requirements

A carrier is required to submit a formal Corrective Action Plan (CAP) when any of the following conditions are met during a quarterly review:

- Any single KPI result falls below the Minimum Acceptable threshold defined in Section 11.1.
- Two or more KPIs fall below the Target Threshold in the same quarter, even if above the Minimum Acceptable level.
- A KPI has trended downward (worsened) for two consecutive quarters, regardless of absolute value.

The carrier must submit a written CAP to the Contracting Officer and Transportation Branch Chief within fifteen (15) business days of formal notification. The CAP must include: a root cause analysis for each deficient KPI, specific corrective actions with responsible parties and completion dates, interim performance improvement milestones, and a commitment date for sustained threshold achievement. DeCA will review the CAP within ten (10) business days of receipt and may approve, request revision, or reject the CAP. An approved CAP places the carrier on a 60-day monitored performance period with weekly check-ins with the Transportation Coordinator.

11.4 Contract Suspension and Termination Criteria

Carrier contract suspension or termination may be initiated by the Contracting Officer under the following conditions:

Warning — Contract Suspension / Termination Triggers

- **Immediate Suspension (Same Business Day):** Loss of FMCSA operating authority; lapse of required insurance coverage; confirmed food safety incident resulting in product contamination; willful falsification of temperature logs or BOL data.
- **Suspension After 30 Days (Failure to Cure):** Failure to submit a required CAP within 15 business days; failure to meet CAP milestone commitments; any KPI remaining below Minimum Acceptable for two consecutive quarters with no approved CAP in effect.
- **Termination for Cause:** Three or more KPIs below Minimum Acceptable threshold for any two quarters within a 12-month period; confirmed cargo theft attributable to carrier personnel; failure to pay a settled cargo claim within 60 days of agreement.

All suspension and termination actions are documented by the Contracting Officer in a formal Determination and Findings (D&F) memorandum, retained in the contract file, and the carrier is immediately deactivated in the TMS Approved Carrier List. Suspended or terminated carriers may reapply for a new contract no earlier than twelve (12) months following the termination effective date, subject to full re-qualification under Section 6.5.

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12. Temperature-Controlled Lane Requirements

Temperature-controlled transportation lanes require enhanced equipment standards, pre-loading verification, continuous in-transit monitoring, and post-delivery documentation to protect the integrity of temperature-sensitive commissary products and ensure compliance with food safety regulations applicable to military installation commissaries.

12.1 Reefer Pre-Cool Requirements

Before any temperature-controlled product may be loaded onto a Reefer trailer at a DeCA Distribution Center, the trailer's interior must be pre-cooled to a temperature of thirty-five degrees Fahrenheit (≤35°F) or below at the warmest point of the trailer interior. Pre-cool verification is the responsibility of the DC Dock Supervisor, who must use a calibrated digital thermometer to measure and record the trailer interior temperature at a minimum of three points (front bulkhead, mid-trailer, and rear door) before authorizing loading to commence. If the trailer fails the pre-cool inspection, the carrier driver is required to run the refrigeration unit until the required temperature is achieved and a re-inspection is conducted. Pre-cool temperature readings are recorded on the Load Check Sheet (DeCA Form OPS-11) and attached to the BOL in the TMS document management module.

12.2 Continuous Monitoring Requirement During Transit

All carriers operating on temperature-controlled lanes must utilize a continuous electronic temperature monitoring device (data logger) within each Reefer trailer throughout the entire transit period from origin DC departure to consignee delivery. The monitoring device must record trailer interior temperature at intervals not exceeding fifteen (15) minutes. Carriers must ensure refrigeration equipment is maintained in full operational condition throughout transit. Any refrigeration unit failure during transit must be reported to the DeCA Transportation Coordinator immediately upon discovery by the driver, and the carrier must implement a contingency plan (transfer to alternate unit or emergency delivery to nearest refrigeration facility) without delay. In-transit temperature excursions above the maximum set-point temperature for a cumulative duration exceeding two (2) hours constitute a cargo integrity event subject to Section 13.

12.3 Temperature Log Download at Delivery

Upon arrival at the destination military installation, the carrier driver is required to provide a printed or electronic copy of the complete continuous temperature log to the installation receiving officer prior to or at the time of delivery. The installation receiving officer reviews the temperature log and notes any temperature excursions on the Proof of Delivery (POD) document. A copy of the temperature log is transmitted by the carrier to the DeCA TMS document management module via the carrier portal within twenty-four (24) hours of delivery. Temperature logs received after 24 hours are flagged by the TMS and noted in the carrier's scorecard as a documentation deficiency.

12.4 Temperature Log Retention

All temperature logs for DeCA temperature-controlled shipments — including both the carrier's copy and the TMS-retained copy — must be retained for a minimum of one (1) year from the shipment delivery date. Carriers are contractually obligated to retain their copies for the same period and to make them available to DeCA upon written request within five (5) business days. Temperature logs may be required in support of food safety incident investigations, cargo claim proceedings, or regulatory audits and must be preserved accordingly. After the one-year retention period, temperature logs are subject to the general records disposition schedule under Section 14.

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13. Incident and Claims Management

Cargo loss and damage claims are administered in accordance with 49 U.S.C. § 14706 (the Carmack Amendment) and the terms of the applicable carrier contract. DeCA maintains the right to recover for any cargo loss or damage caused by carrier negligence, equipment failure, or failure to maintain contracted service conditions.

13.1 Cargo Damage Claim Filing Window

DeCA must file written cargo loss or damage claims with the carrier within nine (9) months of the delivery date (or, for total loss shipments, within nine months of the reasonable expected delivery date). Claims not filed within the nine-month statutory window are barred under 49 U.S.C. § 14706. The Freight Audit Analyst maintains a

Claims Calendar in the TMS to track all open incidents and ensure no claim filing deadline is missed. Incidents identified beyond the six-month mark receive an automated TMS alert to the Transportation Branch Chief and Freight Audit Analyst.

13.2 Incident Documentation Requirements

The following documentation must be collected and retained for any cargo loss or damage incident at the time of discovery:

- **Proof of Delivery (POD)** with receiving officer notation of damaged or missing product, signed and dated.
- **Photographic evidence** of damaged packaging, product, or container condition, taken at the time of discovery at the destination.
- **Temperature log** (for Reefer lanes) covering the entire transit period.
- **BOL** showing the original shipped quantity and product description.
- **Written incident report** from the installation receiving officer, submitted to the DeCA Transportation Coordinator within 48 hours of discovery.
- **Carrier incident acknowledgment** confirming receipt of the claim notification.

The Transportation Coordinator submits all collected documentation to the Freight Audit Analyst, who assembles the formal claim package and transmits it to the Carrier Account Manager within ten (10) business days of incident notification.

13.3 Carrier Chargeback Authorization

If a carrier accepts liability for a cargo claim and a settlement amount is agreed upon, the Contracting Officer may authorize a chargeback against future freight invoice payments in lieu of a separate cash payment, upon written agreement of both parties. Chargebacks are documented in the TMS Accounts Payable module and reflected in the carrier's payment record. If a carrier disputes the claim, the matter is referred to the Contracting Officer for contract enforcement action, which may include referral to the Government Accountability Office (GAO) or Department of Justice (DOJ) as appropriate. Carriers that fail to settle agreed claims within sixty (60) days are subject to suspension per Section 11.4.

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14. Records and Retention

All records generated under this SOP constitute official government records subject to federal retention requirements. The following table defines the mandatory retention schedule for each record type, in compliance with FAR 4.703, the National Archives and Records Administration (NARA) General Records Schedule, and applicable DeCA Records Management policy.

Record Type	Custodian	Storage Location	Retention Period	Disposition Authority
Bills of Lading (BOL) — Original and Copies	Freight Audit Analyst / DC Dock Supervisor	TMS Document Management Module	3 years from shipment date	FAR 4.703
Rate Confirmations and Lane Rate Tables	TMS Administrator	TMS / Contracting Office SharePoint	3 years from contract expiration	FAR 4.703
Freight Audit Records (Invoices, Dispute Files, Adjustments)	Freight Audit Analyst	TMS Accounts Payable Module / DFAS	3 years from payment date	FAR 4.703 / OMB A-123
Carrier Performance Scorecards	Transportation Branch Chief	Contracting Office Contract File	3 years from contract expiration	FAR 4.703
Temperature Logs (Reefer Shipments)	Freight Audit Analyst	TMS Document Management Module	1 year from delivery date (minimum)	DeCA Records Management Policy
Carrier Contracts and Amendments	Contracting Officer	Contracting Office Official Contract File	6 years and 3 months from contract expiration	FAR 4.703(c)
Cargo Claim Files (Incident Reports, POD, Photos, Settlement)	Freight Audit Analyst / Contracting Officer	TMS Document Management / Contract File	3 years from claim resolution date	FAR 4.703 / 49 U.S.C. § 14706
TMS Override Logs and Manual Adjustment	TMS Administrator	TMS System Audit Log (automated)	3 years from record creation date	OMB A-123

Record Type	Custodian	Storage Location	Retention Period	Disposition Authority
Logs				
Annual Freight Spend Reconciliation Reports	Freight Audit Analyst / Finance Officer	DFAS / DeCA CFO Office	5 years from report date	NARA GRS 1.1 / OMB A-123

Records that have reached the end of their retention period must be disposed of in accordance with DeCA Records Management Policy and applicable NARA disposition instructions. Records subject to active litigation hold, Inspector General investigation, or Congressional inquiry must not be disposed of until the hold is officially lifted in writing by the General Counsel.

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15. Revision History

Version	Effective Date	Author / Preparer	Reviewed By	Description of Changes
1.0	August 1, 2026	Supply Chain Operations Division — Transportation Management Branch	Supply Chain Operations Division	Initial Release. Establishes all procedures for Transportation and Carrier Rate Management under DeCA-SC-SOP-04. Supersedes all prior informal guidance documents on carrier selection and rate application.

Approval and Signature Block

The undersigned officials certify that this Standard Operating Procedure has been reviewed for accuracy, regulatory compliance, and operational applicability, and is hereby approved for implementation effective August 1, 2026.

Director, Logistics & Distribution Defense Commissary Agency Approving Official — DeCA-SC-SOP-04 **Date:**

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Chief, Supply Chain Operations Division Defense Commissary Agency Reviewing Official — DeCA-SC-SOP-04 **Date:**

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Contracting Officer DeCA Office of Procurement FAR Compliance Certification — DeCA-SC-SOP-04 **Date:**

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Transportation Branch Chief DeCA Supply Chain Operations Division Operational Review — DeCA-SC-SOP-04 **Date:**

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DeCA-SC-SOP-04 | Transportation & Carrier Rate Management | Revision 1.0 | Effective: August 1, 2026 | Next Review: August 1, 2027

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